Principle of Macroeconomics ECON 2220
Spring 2022, UNO
Sample test 3

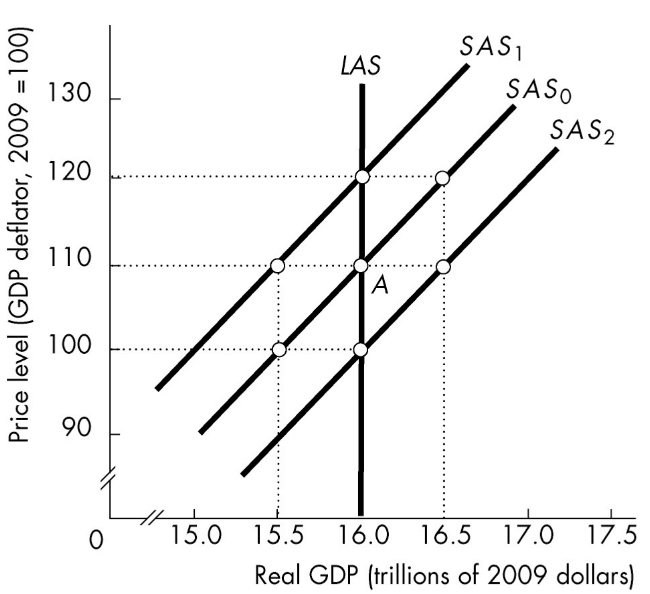
Name: ________________________________

ID: ________________________________

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

1) With an increase in the productivity, the short–run aggregate supply curve 1) ________
   A) remains as it is. B) becomes steeper.
   C) shifts leftward. D) shifts rightward.

2) The quantity of real GDP supplied depends on the 2) ________
   A) price level, the unemployment rate, and the quantity of government expenditures on goods and services.
   B) quantity of labor, the quantity of capital, and the state of technology.
   C) level of aggregate demand.
   D) quantity of capital, bonds, and stocks.



3) In the above figure, the economy is at point *A* and the money wage rate falls by 10 percent. If the price level is constant, firms will be willing to supply output equal to 3) ________
   A) less than $16.0 trillion.
   B) $16.0 trillion.
   C) more than $16.0 trillion.
   D) Without more information, it is impossible to determine which of the above answers is correct.

4) The short–run aggregate supply curve shifts leftward when the 4) ________
A) money wage rate increases.
B) general level of technology advances.
C) price level increases.
D) availability of on–the–job training expands to all workers.

5) People expect their incomes will decrease next year. As a result, the ________ will shift ________. 5) ________
A) short–run aggregate supply curve; rightward
B) long–run aggregate supply curve; rightward
C) aggregate demand curve; rightward
D) aggregate demand curve; leftward

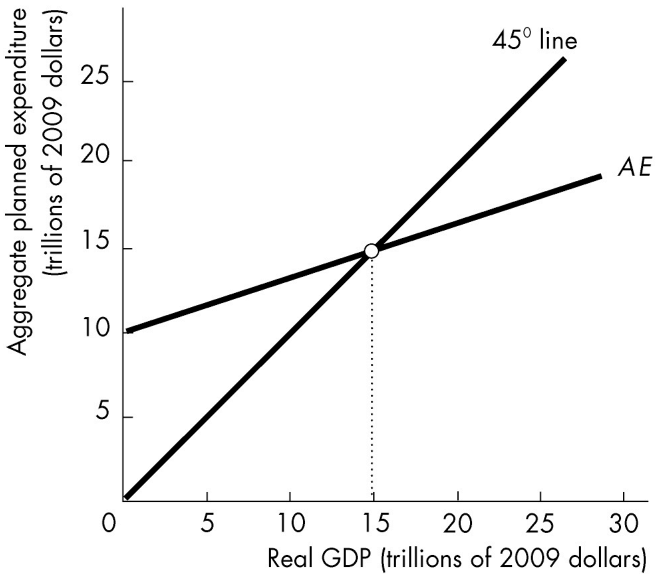
6) An increase in aggregate demand is shown by a 6) ________
A) movement downward along the *AD* curve.
B) leftward shift of the *AD* curve.
C) movement upward along the *AD* curve.
D) rightward shift of the *AD* curve.

Price level	Aggregate demand (trillions of 2009 dollars)	Real GDP (trillions of 2009 dollars)	Potential GDP (trillions of 2009 dollars)
130	8	12	10
120	9	11	10
110	10	10	10
100	11	9	10
90	12	8	10

7) The data in the above table indicate that when the price level is 100 7) ________
A) the unemployment rate is at its equilibrium level.
B) inventories rise and the price level falls.
C) inventories fall and the price level rises.
D) the economy is in a long–run macroeconomic equilibrium.

8) If an increase in a household's disposable income from $10,000 to $12,000 boosts its consumption expenditure from $8,000 to $9,000, the 8) ________
A) slope of the consumption function is 0.5.
B) household is dissaving.
C) slope of the consumption function is 1000.
D) slope of the consumption function is 0.2.

9) A movement along the consumption function to higher levels of consumption expenditure arises because 9) ________
A) the level of desired saving rises.
B) the level of disposable income decreases.
C) household wealth rises.
D) the level of disposable income increases.



10) In the above figure, if real GDP is below \$15 trillion, inventories will be 10) _______

A) below target levels, so firms will decrease production.
B) above target levels, so firms will decrease production.
C) below target levels, so firms will increase production.
D) above target levels, so firms will increase production.

Real GDP	*C*	*I*	*G*	*X*	*M*
100	75	25	95	10	1
200	150	25	95	10	2
300	225	25	95	10	3
400	300	25	95	10	4
500	375	25	95	10	5
600	450	25	95	10	6
700	525	25	95	10	7
800	600	25	95	10	8
900	675	25	95	10	9
1000	750	25	95	10	10

11) In the above table, *C* is consumption expenditure, *I* is investment, *G* is government expenditure, *X* is exports, and *M* is imports. All entries are in dollars. What is the equilibrium expenditure? 11) _______

A) \$500 B) \$1,000 C) \$200 D) \$700

12) If the *MPC* increases from 0.75 to 0.80 and there are no income taxes or imports 12) _______

A) the multiplier becomes larger.
B) the slope of the consumption function becomes smaller.
C) the multiplier becomes smaller.
D) the slope of the savings function becomes larger.

13) If investment decreases, the *AE* curve shifts 13) _______

A) upward and there is a movement along the *AD* curve.
B) downward and there is a movement along the *AD* curve.
C) downward and the *AD* curve shifts leftward.
D) upward and the *AD* curve shifts rightward.

14) The *AS*/*AD* model studies the relationship between 14) _______

A) nominal GDP and inflation.
B) the price level and unemployment.
C) unemployment and real GDP.
D) the price level and real GDP.

15) In a change to immigration policy during 2012, "people younger than 30 who came to the United States before the age of 16, pose no criminal or security threat, and were successful students or served in the military can get a two-year deferral from deportation", Homeland Security Secretary Janet Napolitano said, according to CNN, 06/16/2012. If many of these immigrants had previously been afraid to work, now as a result of being able to work legally 15) _______

A) neither the short-run nor the long-run supply curve shift.
B) only the short-run aggregate supply curve shifts rightward.
C) only the long-run aggregate supply curve shifts rightward.
D) both the short-run and long-run aggregate supply curves shift rightward.

16) Which of the following occurs while moving along a short-run aggregate supply curve? 16) _______

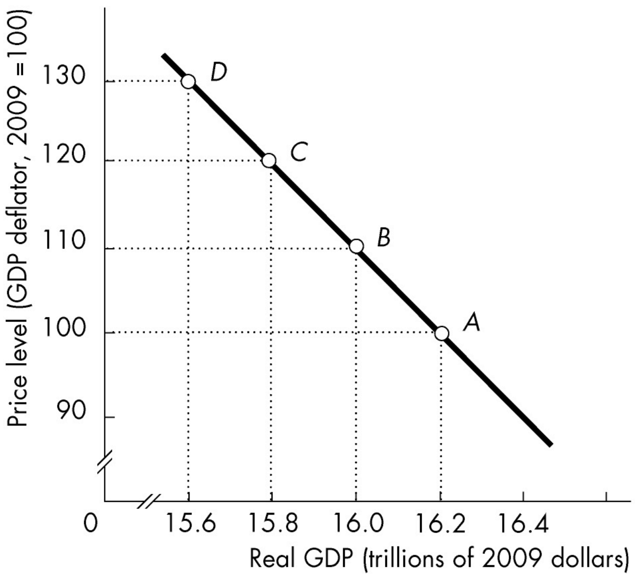
A) The price level changes and the money wage rate is constant.
B) Neither the price level nor the money wage rate changes.
C) The money wage rate and the price level change by the same percentage.
D) The money wage rate changes and the price level is constant.

17) The long-run aggregate supply curve is ________ because along it, as prices rise, the money wage rate ________. 17) _______

A) upward sloping; falls
B) vertical; rises
C) upward sloping; stays constant
D) vertical; falls

18) Other things equal, along the aggregate demand curve, a higher price level is associated with 18) _______

A) a decrease in the quantity of real GDP demanded.
B) a decrease in the quantity of nominal GDP demanded.
C) an increase in the quantity of real GDP demanded.
D) higher income levels.



19) In the above figure, the economy initially is at point *B*. Then price level rises by 10. The wealth effect will help 19) _______

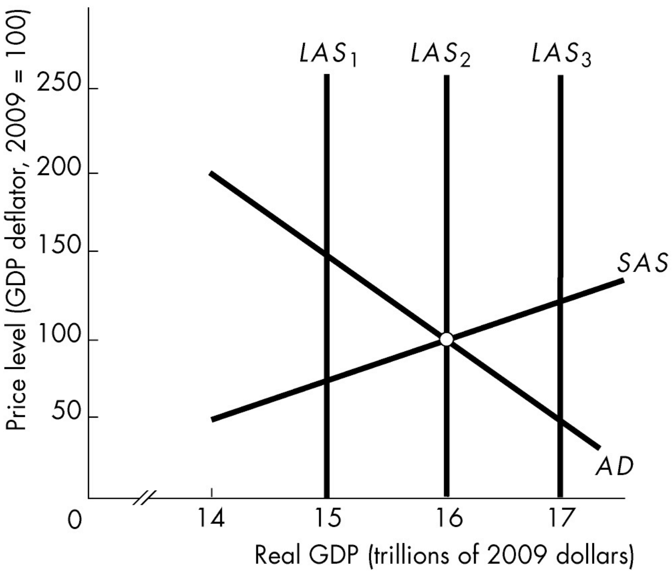
A) keep the economy to point *B*.
B) move the economy to point *A*.
C) move the economy to point *D*.
D) move the economy to point *C*.

20) Which of the following increases aggregate demand? 20) _______

A) a decrease in foreign income
B) a decrease in government expenditure
C) a rise in the interest rate
D) a decrease in taxes

21) When real GDP exceeds potential GDP, then the economy has 21) _______

A) a recessionary gap.
B) an inflationary gap.
C) a below-full-employment equilibrium.
D) None of the above answers are correct.



22) In the above figure, the short-run aggregate supply curve is *SAS* and the aggregate demand curve is *AD*. A recessionary gap exists 22) _______

A) if the long-run aggregate supply curve is LAS_1.

B) if the long-run aggregate supply curve is LAS_3.

C) if the long-run aggregate supply curve is LAS_2.

D) All of the above answers are correct.

23) A consumption function shows a 23) _______

A) positive (direct) relationship between consumption expenditure and disposable income.
B) positive (direct) relationship between consumption expenditure and the price level.
C) negative (inverse) relationship between consumption expenditure and saving.
D) negative (inverse) relationship between consumption expenditure and disposable income.

24) Which of the following concerning the marginal propensity to consume and the consumption function is TRUE? 24) _______

I. The larger the marginal propensity to consume, the greater the amount of autonomous consumption.
II. The larger the marginal propensity to consume, the steeper the consumption function.

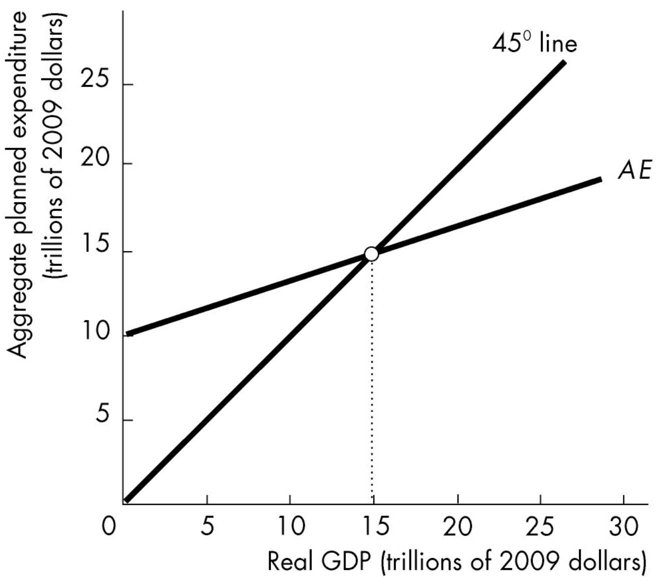
A) I is true. B) II is true.
C) I and II are true. D) Neither I nor II is true.

25) Aggregate planned expenditure 25) _______

A) equals actual aggregate expenditure at the equilibrium level of real GDP.
B) is always greater than actual aggregate expenditure.
C) is always less than actual aggregate expenditure.
D) always equals actual aggregate expenditure.

26) The graph of the aggregate expenditure curve has ________ on the y–axis and ________ on the x–axis. 26) _______

A) household expenditures; real GDP
B) aggregate actual expenditure; real GDP
C) aggregate planned expenditure; real GDP
D) real GDP; aggregate planned expenditure

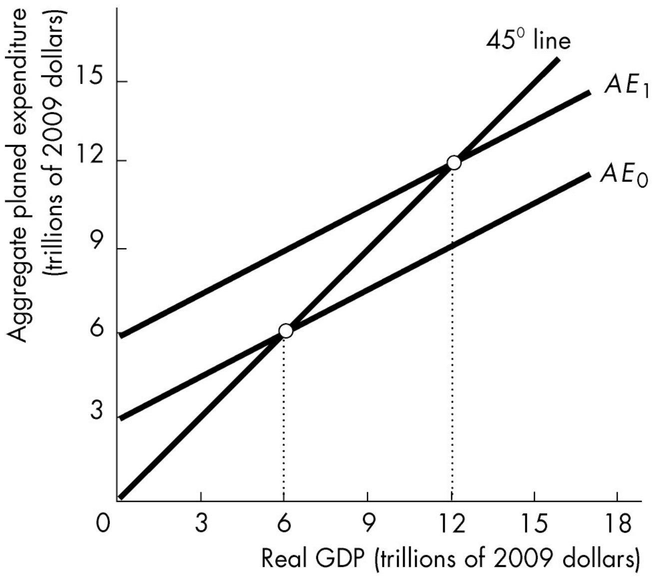


27) In the above figure, if real GDP is below \$15 trillion, inventories will be 27) _______

A) above target levels, so firms will increase production.
B) below target levels, so firms will increase production.
C) below target levels, so firms will decrease production.
D) above target levels, so firms will decrease production.

28) If the slope of the *AE* curve increases, the multiplier 28) _______

A) stays the same.
B) decreases.
C) increases.
D) can either increase or decrease depending on what happens to the *MPC*.



29) The value of the multiplier in the economy illustrated in the figure above is 29) _______

A) 2.0. B) 10.0. C) 2.5. D) 4.0.

30) Given an *MPC* of 0.80, if there are no income taxes or imports and prices are constant, then when investment increases by $50 million and prices are fixed, equilibrium GDP would 30) _______

A) increase by $250 million.
B) increase by $50 million.
C) increase by $400 million.
D) To answer the question more information on income is needed.

31) The aggregate demand curve slopes downward because of 31) _______

A) import and taxation effects. B) the multiplier.
C) wealth and substitution effects. D) the *MPC*.

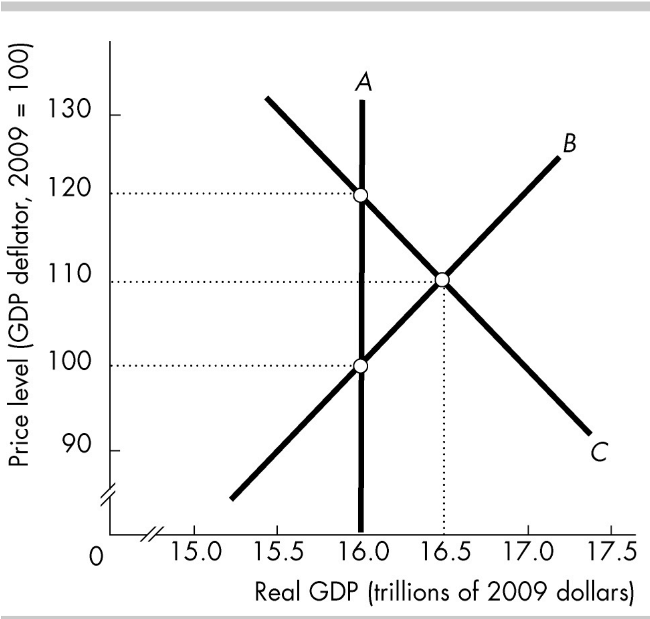
32) The multiplier effect is smallest 32) _______

A) when the price level is fixed. B) in the short run.
C) when the economy is in a recession. D) in the long run.

		Real GDP supplied	
Price level	Real GDP demanded (dollars)	Short run (dollars)	Long run (dollars)
90	700	300	600
100	600	400	600
110	500	500	600
120	400	600	600

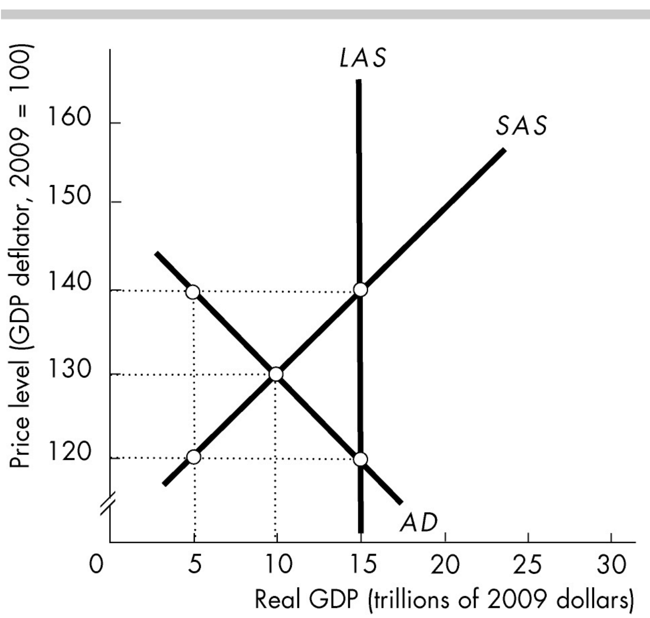
33) The table above gives the aggregate demand and aggregate supply schedules in Lotus Land. With no changes in aggregate demand or long-run aggregate supply, in long-run macroeconomic equilibrium, the price level will be ________ and real GDP will be ________. 33) _______

A) 120; $400 B) 100; $600 C) 90; $400 D) 110; $500



34) In the above figure, curve *A* is the ________ curve, curve *B* is the ________ curve, and curve *C* is the ________ curve. 34) _______

A) short-run aggregate supply; long-run aggregate supply; aggregate demand
B) long-run aggregate supply; aggregate demand; short-run aggregate supply
C) long-run aggregate supply; short-run aggregate supply; aggregate demand
D) aggregate demand; short-run aggregate supply; long-run aggregate supply



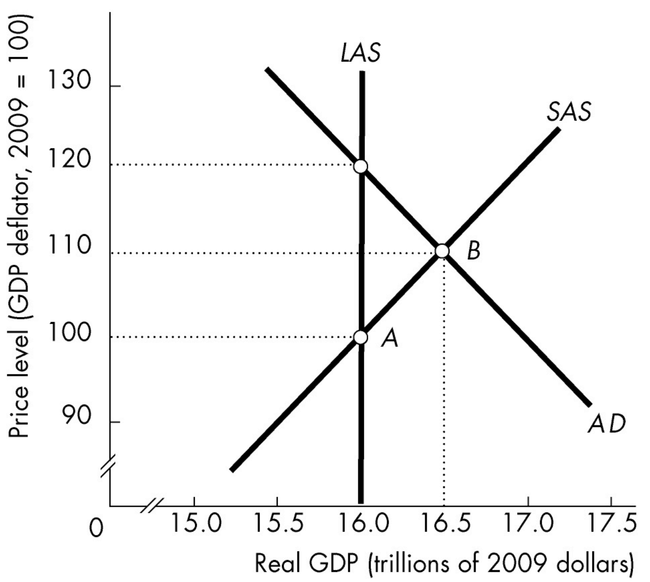
35) In the above figure, at the price level of 140 and real GDP of 35) _______

A) $5 trillion, consumers will not be able to buy all the goods and services they demand.
B) $5 trillion, firms will not be able to sell all their output.
C) $15 trillion, firms will not be able to sell all their output.
D) $15 trillion, consumers will not be able to buy all the goods and services they demand.

	Real GDP supplied		
Price level	Real GDP demanded (dollars)	Short run (dollars)	Long run (dollars)
90	700	300	600
100	600	400	600
110	500	500	600
120	400	600	600

36) The table above gives the aggregate demand and aggregate supply schedules in Lotus Land. The short-run macroeconomic equilibrium is a price level of ________ and a real GDP of ________. 36) _______

A) 120; $400 B) 100; $400 C) 110; $500 D) 90; $400



37) In the above figure, suppose the economy had been at point *A* and now is at *B*. What could have led to the movement to *B*? 37) _______

A) an increase in the money wage rates
B) an increase in government expenditures on goods and services
C) a tax hike
D) Winter storms cause factories in the north to be shut down for several weeks.

Price level	Aggregate demand (trillions of 2009 dollars)	Short–run aggregate supply (trillions of 2009 dollars)	Long–run aggregate supply (trillions of 2009 dollars)
100	11	7	10
110	10	8	10
120	9	9	10
130	8	10	10
140	7	11	10

38) Based on the data in the table above, the economy will be in short–run equilibrium at a price level of 38) _______

A) 120. B) 90. C) 110. D) 100.

Answer Key
Testname: SAMPLE_TEST3

1) D
2) B
3) C
4) A
5) D
6) D
7) C
8) A
9) D
10) C
11) A
12) A
13) C
14) D
15) D
16) A
17) B
18) A
19) D
20) D
21) B
22) B
23) A
24) B
25) A
26) C
27) B
28) C
29) A
30) A
31) C
32) D
33) B
34) C
35) C
36) C
37) B
38) A